

Czechia

Office for the Protection of Competition

The Czech Office for the Protection of Competition (hereinafter referred to as ‘the Office’) is constantly seeking to improve its efficiency in various areas and is therefore involved in a number of initiatives and projects. These initiatives are described in more detail below.

I. Project Watson

The Office is still testing this project whose initial goal is to gather all the information sources relied on by our employees in a single platform. This tool should be able to search and find relevant outputs in many languages and filter non-structured data with the help of Artificial Intelligence (AI); therefore, it should be able to evaluate relevance in an advanced way. Our employees will then have greater comfort in terms of efficiency and speed in searching through information sources. This project is not profitable; it only aims to secure more efficient search through these sources of information, but, at the same time, some pages which have been searched through are subsequently scanned by a robot and indexed into our program under certain keywords.

II. Project DATACROS II

The Office still participates in the DATACROS II project. In the case of this project, we see the potential of pointing out the risks of prohibited agreements in certain areas. We will be able to trace the actual owners of companies and obtain relevant information for, especially, reveal ownership structures. With this project, the Office could be more successful in bid-rigging detection.

Individual activities associated with the project are still ongoing. Two workshops were held in June and July 2022 to present the main functionalities of the upcoming tool and its resources and to define the data and specifications of functionalities for the first test approach of the proposed tool. In March 2023, a meeting on DATACROS II was held to present the tool in detail. The Office has started testing its functioning and will subsequently interact with the other competition authorities involved in the project.

III. Strategy for Electronic Public Procurement for the Period 2021-2025, Cooperation with the Ministry of Regional Development

The Office remains part of this strategy in 2023, with its key activities mainly consisting of methodological contributions and raising awareness, and the provision of know-how in the field of public procurement and competition protection.

IV. The project of Masaryk University Brno (Czech Republic): New Mobility--High-Speed Transport Systems and Transport-Related Human Behavior

The objective of the project is to intensify intersectoral and interdisciplinary cooperation in the framework of research into changes in the mobility behavior of the population within the context of the development of high-speed railways in the Czech Republic. In the framework of the project, a specialized platform will be created, interconnecting the research institutions, entities active within the relevant domains, and public bodies, which will comprehensively address the socioeconomic impact of this phenomenon on society and the overall quality of life. The purpose of this platform is the effective exchange of experience and knowledge between individual participants.

V. Completed Projects within the Technology Agency of the Czech Republic under the Auspices of the Office's Competition Division

The methodology for the supervision of public tenders in passenger railway transport and detection of infringements of competition rules was developed in 2015 as part of the grant project Optimization and Improvement of Competitive Tendering in the Passenger Railway Transport in the Czech Republic according to EU Directives. This project aimed towards creating certified manuals for public policy making in the area of competitive tenders in passenger railway transport. The main users of these manuals will be the Ministry of Transport and the competition authority. Such manuals should provide a coherent basis for competitive tendering designs, making them effective and minimizing any potential conflicts between the agendas of these institutions. The methodology contains a description of basic pricing methods to detect bid rigging.

Automatic detection of suspected collusive behavior in public procurement was developed in 2017 as part of the Omega project. The project resulted in the detector

and *Probbber* software, including relevant methodologies and manuals for detection of bid rigging.¹⁹

The Decision support system for merger assessment in markets with homogeneous product and spatial differentiation was developed in 2020. Within the project, the *MergerSim* software was developed to assess mergers in the fuel market.

VI. Future plans

In the past, we developed a web scraping tool called *Probbber* in cooperation with Masaryk University. This allowed us to download data from the public procurement bulletin (a publicly available search engine for public procurement forms) more easily and create an internal database. The Office wants to extend the database by adding additional data, especially from the profiles of contract authorities. We would like to consider other sources, *e.g.*, *ROZZA*--tender signpost. We also want to build new tests/tools for bid-rigging detection (implement new tests working with competitors' bids, experimenting with Machine Learning Algorithms--*Random Forests*, *Lasso*, and *Ridge regression*, etc.).

¹⁹ *Probbber* stands for procurement + robber.